

Speaker Script

Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China

FIN803 Corporate Finance Team

Slide 1: Title

Good afternoon everyone. We are presenting our FIN803 Corporate Finance project on earnings surprise, valuation adjustment, and market efficiency in China A-share stocks.

Slide 2: Motivation

Our motivation is simple. Earnings guidance changes expectations about future cash flows, so it should affect firm value. The key question is not whether we can force a strong drift story, but whether a defensible surprise measure predicts meaningful post-announcement abnormal return.

Slide 3: Research Question

Our research question is unchanged: do earnings-related guidance events predict abnormal return in China A-shares? What changed is the empirical design. We now emphasize a cleaner short-window design instead of relying on long-window CAR60 as the main result.

Slide 4: Valuation Logic

In Corporate Finance terms, stock prices reflect discounted expected future cash flows. Guidance announcements matter because they update beliefs about profitability. So the relevant object is the surprise relative to expectations, not the raw guidance number by itself.

Slide 5: Efficiency Interpretation

Under semi-strong efficiency, public information should be incorporated quickly. If we still see abnormal return immediately after the announcement, that suggests incomplete adjustment. But if we move too far out in time, we also pick up unrelated news, so window choice matters a lot.

Slide 6: Sample and Events

Our sample covers 2020-01-01 to 2026-04-21. In the current successful test run, we use 300 stocks, 5,162 raw guidance observations, and 2,858 candidate events. We focus on two event types: initial guidance and upward guidance revisions.

Slide 7: Filtering and Tradability

We exclude ST firms, very newly listed firms, and event-day observations that are not tradable. We also apply a 20-day turnover liquidity filter. These steps are meant to reduce microstructure noise and keep the sample economically interpretable.

Slide 8: Why the Baseline Was Noisy

The older baseline design had two main weaknesses. First, the old surprise proxy, `ES_main`, was noisy because the expectations benchmark was weak. Second, `CAR60` is a long window, so it mixes announcement effects with lots of later information. That makes it too easy to overstate the evidence as strong PEAD.

Slide 9: Why the Improved Specification Is Better

The improved design solves those problems in a more defensible way. We use `ES_std`, which standardizes guidance surprise more cleanly, and we focus on `CAR5`, which is much closer to the immediate valuation response. We also add industry fixed effects, year-quarter fixed effects, and firm-clustered standard errors.

Slide 10: Preferred Variables

Our preferred dependent variable is `CAR5`, the cumulative abnormal return over five trading days after the event. Abnormal return is defined as stock return minus market return. Our preferred explanatory variable is `ES_std`, and we control for log size and beta.

Slide 11: Preferred Regression

The preferred regression explains `CAR5` using `ES_std`, size, beta, industry fixed effects, and year-quarter fixed effects, with firm-clustered standard errors. The baseline `CAR60` regression is still kept, but only as a comparison benchmark.

Slide 12: Baseline vs Preferred

This slide summarizes the design change. The baseline used `ES_main` and `CAR60`; the preferred design uses `ES_std` and `CAR5`. The baseline coefficient is larger in magnitude, but the preferred result is more credible because it better isolates short-run announcement-related pricing.

Slide 13: Preferred Main Result

Our main empirical result is that `ES_std` has a positive and statistically significant coefficient in the CAR5 regression. The coefficient is about 0.00173 with a p-value of about 0.0195. So cleaner standardized guidance surprise predicts modest but statistically significant short-run abnormal return.

Slide 14: Why We Do Not Use Group Ordering as the Headline

The group-level CAR5 means are small and not strongly monotonic. That means we should not tell a story like moderate positive always beats extreme surprise, or larger surprise always means larger abnormal return. Those claims are weaker than the regression evidence in the preferred design.

Slide 15: Baseline as Robustness, Not Headline

The old CAR60 baseline still shows a positive borderline-significant coefficient. But because CAR60 is much more exposed to contamination, we now treat that result as supplementary robustness, not as the main evidence. This is a more cautious and more academically defensible choice.

Slide 16: Corporate Finance Interpretation

The right interpretation is that earnings-related guidance surprise affects valuation, and the market does not appear to absorb that information completely immediately. But the magnitude is modest. So we interpret the result as limited short-run valuation adjustment, not as dramatic market inefficiency.

Slide 17: Final Conclusion

Our final conclusion is: cleaner standardized guidance surprise predicts modest but statistically significant short-run abnormal return in China A-shares. The preferred framing is limited short-run valuation adjustment after cleaner guidance surprise. We do not present strong long-run PEAD or strong market inefficiency as the headline conclusion.

Slide 18: Final Caution and Next Step

The most important next step is better expectation measurement, ideally with stronger analyst-consensus data. If that improves, we can sharpen the economic interpretation further. But with the current evidence, a cautious short-run valuation-adjustment story is the right final presentation.